COURSE

IB Diploma Programme Business management HL

Product portfolio

Unit 4: Marketing · 4.5 The seven Ps of the marketing mix: product

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Business Management HL** Topic **Product portfolio**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Boston category**	TASK 2 **A balanced range**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rank market growth**	TASK 4 **Growth and share**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Where cash goes**	TASK 6 **Risk in the range**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Your newest model has 5% of a market growing 20% a year. The leader has 40%.

Which Boston matrix category is this?

PICK ONE

- ○ Cash cow
- ○ Dog
- ✔ **Question mark**
- ○ Star

Why: A low share of a high-growth market is a question mark, not a star.

Task 2

ROUND 1

You want a balanced range of models.

Which two should the range include?

PICK TWO

- ✔ **Models in growing markets**
- ✔ **Models that bring in steady cash**
- ○ One model for every buyer
- ○ Only models in shrinking markets
- ○ Only models with a small share

Why: Steady earners pay for the models that will earn in future.

Task 3

ROUND 2

Three of your models and their markets, sales last year and this year.

Order by market growth, fastest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **5,000 to 6,000 cars**
2. **10,000 to 11,000 cars**
3. **40,000 to 40,800 cars**

Why: Growth: 20%, 10%, 2%.

Task 4

ROUND 2

Your model in its market.

Market growth, and your share this year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Market sales last year	**40000 cars**
Market sales this year	**50000 cars**
Your model's sales this year	**2000 cars**

METHOD

Growth = (this year – last year) ÷ last year; share = your sales ÷ market

(50,000 – 40,000) ÷ 40,000 = 25%; 2,000 ÷ 50,000 = 4%

Why: Growth compares with last year; share is of this year's market.

Task 5

ROUND 3

Your leader in a slow market makes spare cash. A newer model has a small share of a fast market.

Where should the spare cash go, and why?

PICK A OR B AND GIVE A REASON

- ○ Back into the leader that earned it
- ✔ **The newer model in the fast market**

Why: Cash from a mature leader is best spent building the next winner.

Task 6

ROUND 3

Your range: a cash cow in a shrinking market, two dogs, and no stars or question marks.

What is the main risk to the firm?

PICK ONE

- ○ Negative cash flow today
- ✔ **Nothing to replace the cash cow**
- ○ Stars use up too much cash
- ○ Too many models in growing markets

Why: With no stars or question marks, nothing will replace the cash cow when it fades.

Final questions

6	109	1
questions for each pupil	Level 3 Business questions	of them on product portfolio

The game draws 6 of the 109 Level 3 questions; these 1 are about product portfolio.

1 A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?

Defend profitable segments, refresh differentiation or plan replacement on evidence.